INDIA'S CREDIT DECADE : From savers to borrowers

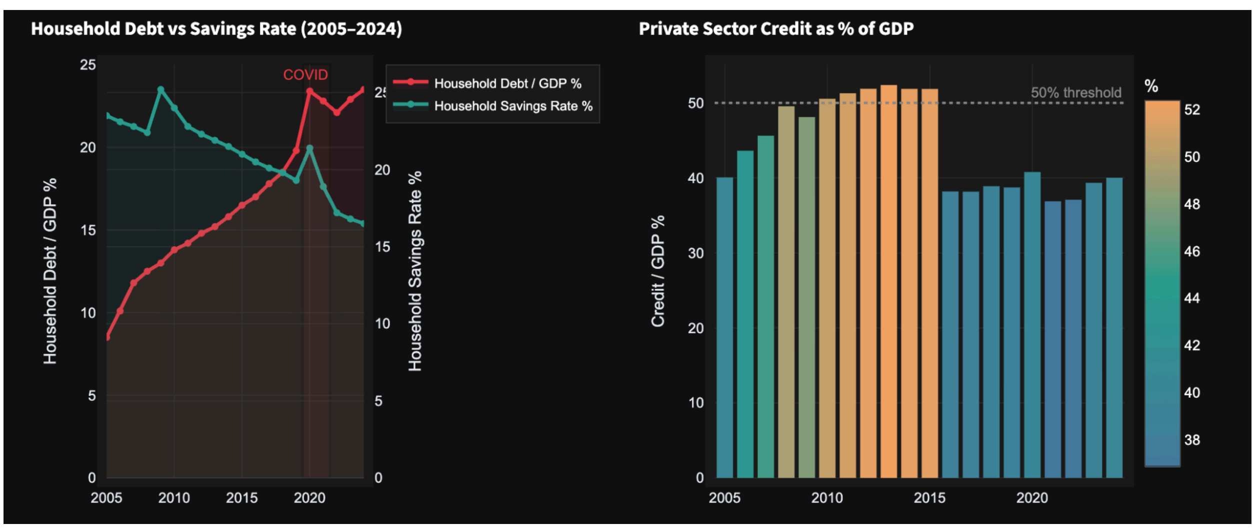
Meera earns ten thousand rupees a month. She recently bought a phone that costs one and a half lakhs - on a personal loan. A phone is something our parents' generation would never take a loan for. They would have saved up for months, maybe longer. A loan for a phone? Absolutely not.

India has always been a savings-first nation culturally, so what exactly brought on this change especially around 2015 as the data suggests? This project was made with the intention of understanding the answers to three question:

1. What is the scale of India's shift from saving to borrowing ?
2. What are Indians borrowing for, and has the composition changed ?
3. Is the pace of credit growth sustainable to wage growth ?

SECTION 1 : The Macro Picture

The credit-to-GDP ratio measures how much private credit exists relative to a country's economic output. For every ₹100 of economic output India produces, ₹56 worth of private credit is outstanding. Compared to China (180%) or South Korea (160%), India is not in dangerous territory in absolute terms. But the rate of change matters more than the level.



The scissors chart tells the more important story. Around 2018, the household savings rate and household debt began moving in opposite directions — savings falling, debt rising, the gap widening each year. The relationship between the two is -0.97. That is almost a perfect inverse. With near-total consistency across 20 years of data, whenever household debt went up, household savings went down. This is not a coincidence or a short-term cycle. It is a structural shift.

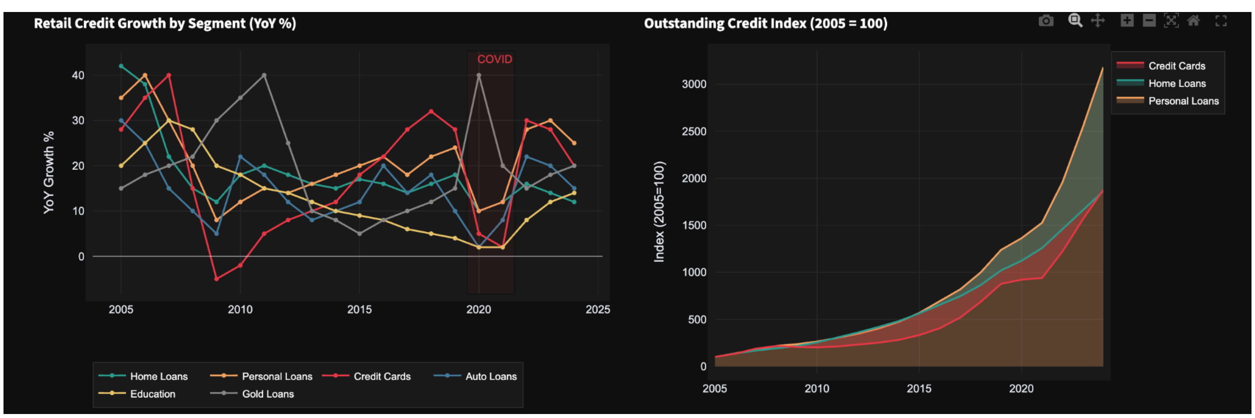
The COVID spike in the credit-to-GDP ratio deserves a second look. At first glance it looks like credit exploded in 2020. It didn't. The ratio jumped not because credit grew unusually fast but because GDP collapsed while banks kept lending — the denominator fell, not the numerator surged. That distinction matters. It reflects an active decision by the banking system to keep credit flowing through an income shock, which prevented sharper economic contraction but also meant millions of borrowers were carrying debt through a period of falling incomes.

SECTION 2 : What Changed and When

The whole story has a clear before and after — 2015 is the dividing line.

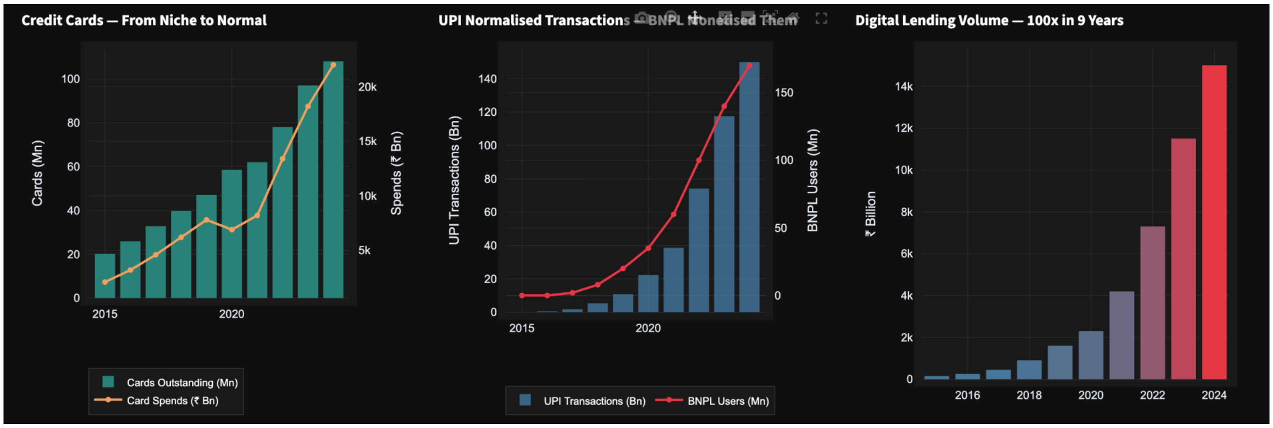
Before 2015, borrowing was mostly home loans and corporate lending. Retail credit was present but modest, largely urban, concentrated among salaried formal-sector workers. The typical Indian household used credit to buy homes and vehicles — long-tenure, asset-backed, collateralised.

After 2015, the infrastructure changed everything. Jan Dhan brought 400 million people into formal banking. Aadhaar made KYC frictionless — what used to take days of paperwork took minutes. UPI launched in 2016 and normalised digital transactions for a generation that had never owned a cheque book. These aren't just policy achievements. They are the plumbing that made it possible for a first-generation bank customer in a tier-3 city to get a personal loan on their phone in under ten minutes.



In 2005, home loans and personal loans were growing at roughly the same rate. By 2024, personal loans had grown 31x from their 2005 base. Home loans grew 18x.

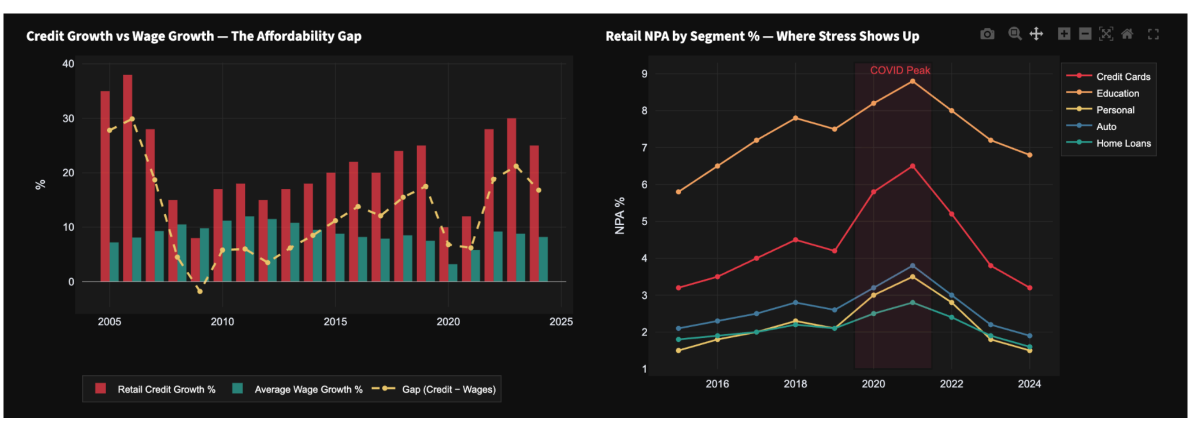
Credit cards went from 20 million in circulation to 108 million. This gap is not about housing demand slowing down but about a whole new category of borrowing emerging entirely — consumption, lifestyle, medical emergencies, vacations. India went from borrowing to own things to borrowing to consume things.



In the wake of UPI, digital lending went from ₹150 billion in 2015 to ₹15,000 billion in 2024 — a 100x increase in nine years. The speed was the problem. RBI's 2022 digital lending guidelines, which imposed stricter disclosure requirements and banned automatic credit line increases, were a direct regulatory response to the risks this pace created. When a regulator moves that fast, it usually means something was already going wrong.

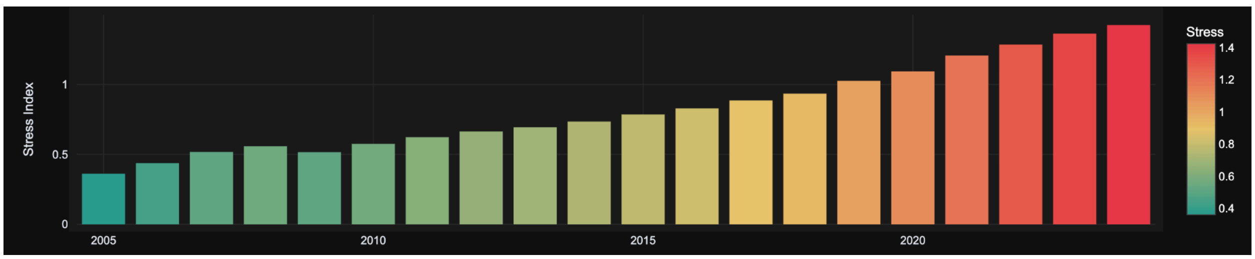
SECTION 3 - The Affordability Question

Credit has outgrown wages every single year since 2016, except 2020 — and in 2020, wages fell harder than credit slowed. The average gap between retail credit growth and wage growth was 14 percentage points between 2018 and 2024. In practical terms: if your salary grows 8%, your EMI obligations grew by 22%. That math does not work indefinitely.



When COVID hit, the stress test was immediate. Home loans — secured, long-tenure, with a physical asset behind them — held at 2.5–2.8% NPA. Credit card NPAs hit 6.5%. Education loan NPAs hit 8.8%. Personal loans peaked at 3.5%. The pattern is consistent: the faster a segment grew in the boom years, the harder it broke when incomes were disrupted. Both recovered — but the recovery was aided by RBI's moratorium and restructuring schemes. A longer disruption would look very different.

The Affordability Stress Index combines both sides of the equation: how much debt households carry relative to the savings buffer available to absorb shocks.



Affordability Stress Index = Household Debt/GDP ÷ Savings Rate

A household with 23% debt-to-GDP and a 16.5% savings rate has less margin for error than one with 17% debt and a 21% savings rate — even if their absolute income is higher. The index has risen 43% since 2015 and shows no sign of plateauing.

None of this suggests India is heading toward a debt crisis. What it does suggest is that the margin for error is thinner than it was, and that the next income shock will stress retail portfolios more than the last one did.

SECTION 4 : What This Means For Banks

170 million BNPL users, most of them new-to-credit, represent the next generation of bank customers. The question is not whether to reach this segment — every retail bank already is — but how to price the risk of doing so when most of these borrowers have no formal credit history.

Unsecured retail credit is now roughly 30% of total bank portfolios, up from about 15% in 2005. The NPA data shows it is the most vulnerable segment in any shock scenario. Any bank running a large personal loan or credit card book needs to model what happens to that book in a two-quarter income disruption, not just the standard annual stress test horizon.

RBI's decision to increase risk weights on consumer credit in late 2023 — making it more expensive for banks to lend in this segment — is not coincidental. It is a direct policy signal that the regulator sees the same trend this analysis documents and is trying to slow it before it becomes a problem.

CONCLUSION:

This analysis uses annual, aggregate data. It cannot tell you whether the credit growth is concentrated among higher-income borrowers who can absorb it, or whether it is spreading into income segments where the stress is invisible until it suddenly isn't. That question matters more than anything else here — and answering it requires CIBIL-level individual borrower data that is not publicly available.

What the data can say is this: India's household savings rate has fallen to its lowest level in decades, household debt has nearly tripled as a share of GDP, and credit has outpaced wages every year for the better part of a decade.

Whether that is a sign of a maturing credit culture or an early warning sign depends entirely on what happens to incomes in the next downturn. Meera's phone loan is not the problem. The question is what happens if she loses her job before she finishes paying for it — and whether her bank modelled for that when it approved the loan.